

# Analysis Summary and Recommendations

This analysis reviews Q3 carrier performance across key brokered lanes to quantify service reliability and cost efficiency. The primary objective was to identify underperforming and overpriced carriers to enable a data-driven strategy for identifying areas of potential growth and service improvement.

The results of the analysis reveal a significant performance failure with Budget Freight. This carrier recorded an average On-Time Delivery (OTD) rate of only 52.78% across all shipments, falling significantly below the network average of 75.54%. Additionally, the analysis showed Budget Freight charging the highest average Cost per Mile, demonstrating a clear misalignment between price and service level. As we work to meet our customers' standards of 85% OTD performance, this is an area that needs immediate attention.

It is strongly recommended that we immediately reduce Budget Freight's allocated shipment volume by 60% over the next three months. Diamond Freight has expressed interest in committing capacity for up to 3 additional loads per week on high-priority lanes from the Naperville, IL, due to a yard they have nearby.

Road King has supported the idea of dedicating an additional 1 load per week from Phoenix, AZ. Reallocating this volume to high-performing, cost-effective partners like Diamond Axle Transport and Road King is projected to increase our overall network OTD by 5% percent while simultaneously stabilizing shipping costs across critical lanes.

While we shift volume to these more reliable carriers, our carrier team is actively searching our network to identify new potential partnerships, to help bridge the additional 5% gap in OTD performance, while keeping cost per mile low. More to follow as this develops.